ARTICLE

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Forward Thinking

CPQ

Know All About CPQ & How to Capitalize on It Benefits

Configure, Price, Quote (CPQ), the most commonly used sales tool, has been around for decades, but the significance of the software is realized only when companies start growing.

The realization comes when the sales team struggles to create accurate quotes on time, frets about the latest pricing rules, misses upselling/ cross-selling, tussles with lengthy negotiations, regrets failed opportunities, and more.

Yet, most of the companies continue to use spreadsheets or in-house tools to generate quotes instead of implementing a smart CPQ solution. The reason could be resistance to adoption, fear of unknown/failure, and financial viability. Overcome all the challenges with Forsys' expertise and *learn more about CPQ.*

Let us explore the solution, its benefits, and how to skirt CPQ implementations failures.

What Is Configure, Price, Quote Software, and Why It Is Essential?

CPQ is a software solution that automatically generates accurate quotes based on the pre-configured rules. This ensures your sales representatives produce an error-free quote considering the customizations, quantities, applicable discounts, and other pre-programmed guidelines.

The solution helps your sales representatives stay focused on engaging with the customer and selling the right products without fretting about the time-consuming administrative tasks to generate accurate proposals/quotes. Your sales reps can access all the information in a few minutes and generate professional-looking documents without wasting any time and enhancing customer experience.

Benefits of CPQ Solutions

The topmost advantage of CPQ solutions is that they build momentum for the sales team. A momentum that accelerates the sales cycle, generates revenue in less time, and spares enough time for the sales reps to focus on the upcoming deals.

The top 5 benefits of implementing the CPQ software are:

01

FASTER SALES - During a deal, a salesperson spends time on value-added tasks like interacting with the customer, exploring the customer's requirements, proposing solutions, and recommending add-ons. In addition, the salesperson has to do other administrative tasks that consume a lot of time to calculate the pricing.

With straightforward and error-free quotes, the sales representatives can save maximum time on administrative tasks, negotiate with the customers effectively, and respond to requests with a few clicks - resulting in faster sales.

02

SWIFT APPROVALS - Cut down the long and complicated chase of getting approvals when the client is ready to make the purchase. Reduce or completely eliminate the approval delays with CPQ.

The software triggers automatic notifications for approvals to the assigned authorities along with details of the proposal/ deal. CPQ handles a series of approvals, thereby, providing visibility into the deal's progress. You can also get insight into the stage where a deal is approved/rejected. These inputs are essential in understanding the sales process better.

03

MAXIMIZE PROFIT MARGINS - Access the latest pricing of your products/ services during a deal with CPQ without any hassle. Even though sales personnel have the authority to provide discounts, access to the right price list is crucial to maintain the company's profitability.

A centrally managed CPQ instantly generates the right pricing based on the latest price rules. Even for the most complex configurations, limited offerings, promotions, and other proposals, you can securely get the right pricing while safeguarding the margins.

04

GUIDED SELLING - One of the most-talked-about features of CPQ is Guided Selling where sales representatives follow due process and ask relevant questions to discover customer needs. Guided selling is used when you have an array of products/ services to sell.

Based on the response to the questions, the CPQ suggests options that help the sales team make practical suggestions to the customers. In a way, it simplifies the process of selecting the right product.

05

DEALING WITH SUBSCRIPTION MANAGEMENT - Running a subscription-based business model has become easier with the right CPQ tool. Manage your license renewals, calculate subscription pricing, and enhance revenue and profit through cross-selling or up-selling with a few clicks.

Sellers can understand the different services used by a customer, know the existing service status, and create new opportunities for selling.

Apart from these top advantages, other benefits include simplification of operations, dashboards with data analytics on each deal, and increased sales opportunities.

If you are looking for the best CPQ vendors in the market, here are the top 4 recommendations:

salesforce CPQ

conga CPQ

ORACLE CPQ

SAP CPQ

**Bonus - Tips to Choose the Right CPQ Software

- Simple to use
- Suits your business needs
- Eases and automates most of the sales process
- Easily customizable and scalable
- Seamlessly integrates with other software solutions - CRM, CLM, ERP, et al
- Provides data analytics
- Makes a good financial investment
- Does not require additional costs

Even with the best CPQ software, if the implementation is not done correctly, companies may not see the desired results.

Why Do CPQ Implementations Fail?

A brief prelude on the top reasons why CPQ implementation fails is listed below:

Lack of Clearly Defined Project Goals

When organizations do not identify and define the objectives of implementing the solution, they stare into the void. Specify the purpose and desired outcome of the software, define the scope of the software (what it needs to do), and list out the time, cost, dependencies, and risks involved for an effective CPQ implementation.

The CPQ implementation is an opportunity to thoroughly evaluate your sales processes and provide an effective solution to overcome the challenges.

Incorrect Implementation Methodology

A pure agile methodology to implement your first CPQ solution does not work best.

It is best to choose a hybrid approach while implementing the software. During the design phase, follow the waterfall methodology and thereafter, you can use the agile approach during the development for a greater impact.

Adding All the Features

Including all the product features merely because they are available may not work for your business. Rather discuss your business requirements with key stakeholders and add only those features that serve your goals.

Use the “out-of-box” functionalities first to ensure smooth functioning before customizing the solution.

Inexperienced Implementation Team

Partnering with an inexperienced team can adversely affect the implementation process. This is why, collaborating with partners like Forsys can ensure end-to-end support for your Configure, Price, Quote.

Determining the Right Data Quality

As CPQ takes data from multiple sources, inaccurate information proves detrimental. Therefore, it is important to determine the correctness of data - pricing rules, discounts, bundles, tax rates, and other information before inputting it into the system.

Resistance to Adoption

Adopting a new solution is difficult for any team; and until the sales team approves and assumes the solution in their daily work, the solution fails to deliver. The whole point of the CPQ solution is to support the sales team. Therefore, training and helping teams get acquainted with the new software is decisive in the success of the solution.

Why Choose Forsys

as Your CPQ Implementation Partner?

Forsys is an end-to-end CPQ implementation partner for vendors like Conga and Salesforce and is time and again relied upon for seamless services. Our experienced team brings along in-depth knowledge, industry best practices, and intelligence that helps companies choose the right-fit CPQ solution to achieve their entrepreneurial goals.

Our offerings include all the in-between services from assessment to change management ensuring our clients focus on their main business and are confident of the outcome.

Book your FREE demo
to understand the depth and width of our solutions.

Check out our offerings
https://forsysinc.com/cpq-services

Explore our success stories
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